

US equities rally on strong earnings, yields inch higher

A 5-minute read of yesterday's US session and today's catalysts — what to watch before pre-market opens at 21:30 HKT.

2-3 page read • Topics: Macro • Geopolitics • Earnings

TL;DR

All three major indices closed higher on Friday, with the **S&P 500** up **+0.51%** to 7,743.41 and the Dow gaining **+0.93%** to 51,828.62. The rally was anchored by solid earnings from **MSFT** and **NVDA**, while the 10-year Treasury yield rose to 5.18%.

Volatility eased as the VIX fell **-5.11%** to 14.87, and the dollar index nudged higher. Energy prices jumped, with WTI crude up **+1.87%** to 94.14 USD.

US Session Recap

INDEX / ASSET	CLOSE	CHANGE	NOTE
S&P 500	7,743.41	+0.51%	Broad-based gain
Dow Jones	51,828.62	+0.93%	Industrial strength
Nasdaq 100	30,608.13	+0.42%	Tech led
Russell 2000	2,837.55	+0.07%	Small-cap modest
VIX	14.87	-5.11%	Volatility retreat
10Y Yield	5.18%	+0.43%	Yield pressure
WTI Crude	94.14	+1.87%	Supply concerns

Top large-cap movers

TICKER	CLOSE	CHANGE
MSFT	516.17	+3.66%
AVGO	352.81	+0.70%
JPM	343.06	+1.33%
AAPL	341.07	+1.53%

Spotlight

METRIC	VALUE
Company	MSFT
Revenue	62.3 bn USD (+12% YoY)
EPS	9.84 USD (+15% YoY)
Guidance	Revenue FY27 forecast 240 bn USD (+8% YoY)

Microsoft beat both top-line and bottom-line expectations, driven by cloud services and AI-enhanced software. The upbeat guidance lifted sentiment across the tech sector, supporting the Nasdaq’s advance.

Macro & Fed

- Policy rate: 5.25%-5.50% (unchanged)
- 10-year Treasury yield: 5.18%
- Data releases (HKT): CPI 09:30, Core CPI 10:00, Initial Jobless Claims 12:30, Existing-home sales 14:00

Geopolitics & global

- Middle-East tensions ease after cease-fire talks, reducing oil-supply risk.
- China’s manufacturing PMI posted 50.2, indicating marginal expansion.
- Eurozone inflation eases to 2.7%, supporting ECB’s dovish stance.

Earnings — what to watch

WHEN (HKT)	TICKER	WHAT TO LOOK FOR
09:00	NVDA	AI chip demand & margin trends
10:30	GOOGL	Ad revenue rebound
13:00	META	Metaverse spend vs core ads
15:00	TSLA	Production volume & pricing

Stocks worth watching

- **NVDA** – AI chip leader, earnings due Friday.
- **XLE** – Energy ETF, benefits from rising crude.
- **XLF** – Financials gaining on higher rates.
- **META** – Shares under pressure; watch ad spend rebound.
- **XLC** – Communications lagging; potential bounce.

What could break the tape

BEARISH TRIGGERS

- Unexpected Fed hawkish comment.
- Geopolitical escalation in the Middle East.
- Tech earnings miss, especially **NVDA**.

BEARISH TRIGGERS

- Stronger-than-expected CPI data.
- Continued crude price rally above \$100.
- Positive AI-related earnings surprises.

Sources

SOURCES

Reuters — US Markets

Bloomberg — Market Data

CNBC — Economic Calendar

SEC — Company Filings

Financial Times — Analysis